

tions to the contrary. Here we must distinguish between vision or intuition on the one hand, and ordinary sound reasoning on the other. The ability to see what is coming is of inestimable value, but it cannot be expected to be part of the analyst's stock in trade. (If he had it, he could dispense with analysis.) He can be asked to show only that moderate degree of foresight which springs from logic and from experience intelligently pondered. It was not to be demanded of the securities statistician, for example, that he foretell the enormous increase in cigarette consumption since 1915 or the decline in the cigar business or the astonishing stability of the snuff industry; nor could he have predicted—to use another example—that the two large can companies would be permitted to enjoy the full benefits from the increasing demand for their product, without the intrusion of that demoralizing competition which ruined the profits of even faster growing industries, *e.g.*, radio.

Analysis of the Future Should Be Penetrating Rather than Prophetic. Analytical reasoning with regard to the future is of a somewhat different character, being penetrating rather than prophetic.⁷

Example: Let us take the situation presented by Intertype Corporation in March-July 1939, when the stock was selling at \$8 per share. This old, established company was one of the leaders in a relatively small industry (line-casting machines, etc., for the printing trade). Its recent earnings had not been favorable, nor did there seem to be any particular reason for optimistic expectations as to the near-term outlook. The analyst, however, could not fail to be impressed by the balance sheet, which showed net current assets available for the stock amounting to close to \$20 per share. The ten-year earnings, dividend and price record of the common stock was as shown in the following table.

Certainly there is nothing attractive in this record, marked as it is by irregularity and the absence of a favorable trend. But although these facts would undoubtedly condemn the issue in the eyes of the speculator, the reasoning of the analyst might conceivably run along different lines.

The essential question for him would be whether or not the company can be counted on to remain in business and to participate about as before in good times and bad. On this point consideration of the indus-

⁷ See Appendix Note 54 for an example (Mack Trucks, Inc.) used in the first edition of this work, together with its sequel.